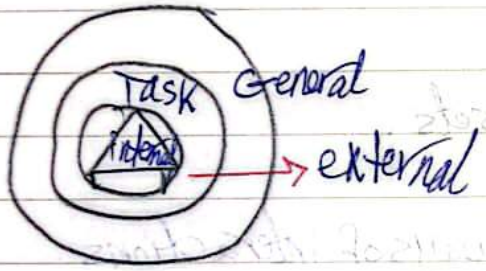
* business environment: A set of internal and external Factors → operations of business and the ability to achieve goals.

operations of business

create produce — goods, services — deliver

⇒ the organizations goal → maximize profits.
- → develop realistic plans about the future.
- → know internal strength and weakness
- → understand external opportunities and threats.




⇒ Component of internal environment:
- owners
- employees
- organizational culture
- board of directors
- physical environment

Notes:
⇒ the owners may be shareholders or stockholders.

⇒ the most basic characteristic of corporation:
- → seperation
- → ownership
- → management.

⇒ stock holders can choose board of directors to represent them by election

⇒ board of directors ((functions))
- → approving strategic goals and plans.
- → approving major expenditure.
- → hire CEO → running day to day operations

⇒ board of directors can choose chief Excutive officers ((CEO))
marketing, financing, HR, production

stock holders
↓
BoD
↓
CEO
- marketing
- production
- Financial
- HR

⇒ employees represent the human capital of the organization

⇒ physical environment refers to the physical assets.

⇒ Culture → set of norms, values, beliefs and ways of interactions.

⇒ all of these factors change except organizational culture.

internal environment

strength

- motivated workers.
- qualified management.
- good research and development team.
- state of art tech.

Resources

weaknesses

- unqualified workers
- out dated technology

external environment.

factors outside the Business.

imposes opportunity and trials.

⇒ Task environment Components:

* customers.
* suppliers.
* competetors
* strategic parteners.
* Regulators

⇒ suppliers may be { materials, parts }

⇒ competetors { same → pepsi and cocacola ; similar → tea and coffee. }

⇒ any business should keep close eye.

⇒ Competitors
- same
- similar
  - → technology
  - → develop product
  - → new product

⇒ strategic partners → physical assets / intellectual property.

⇒ Regulators → can control practices of the organization (how?
- → set rules
- → set wages and salaries.
- → competitors.
- → Consumer protection.
  - → labor union.
  - → consumer protection groups.

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